

Annual Earnings Report

Wonderkid Wonderland

Shareholder Letter and Financial Review
Fiscal year ended December 31, 2025
with 2026 year-to-date AI growth update

\$178.8M FY2025 revenue +20% year over year	\$1.32B Wish credit issued +29% originations	+69% 2026 YTD revenue vs prior-year period
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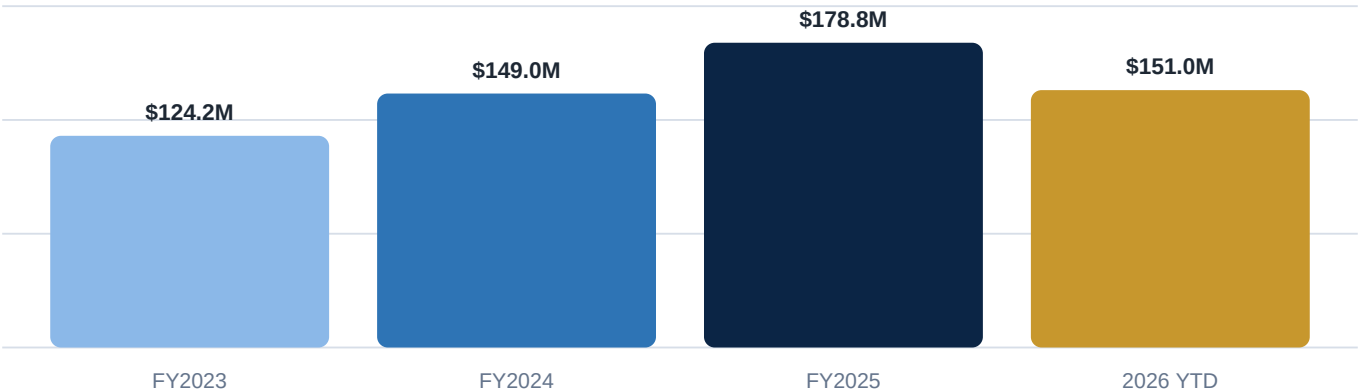
Wonderkid Wonderland is a fictional financial bank that specializes in responsible credit products for families, sponsors, and approved trusts pursuing children-first wishes: vehicles, expensive toys and experiences, home-related dreams, and cash wish loans.

At a Glance

Kid Wonders' message to shareholders: Wonderkid Wonderland grew revenue by 20% again in FY2025, widened responsible access to wish credit, and entered 2026 with AI-assisted revenue up 69% year to date. The next chapter is disciplined growth, not growth at any cost.

\$178.8M Revenue third straight year near 20% YoY growth	\$29.6M Net income 16.6% net margin	2.8% Default rate down 40 bps year over year	2.3M Active wish accounts +35% from FY2024
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Revenue Growth



2026 YTD revenue is shown through June 25, 2026 and compared with the prior-year period. It is not a full fiscal-year result.

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Letter from Kid Wonders

Dear fellow shareholders,

A company built around children's wishes carries a special kind of responsibility. The wish itself is bright and emotional. The financing behind it must be sober, transparent, and durable. That is the standard Wonderkid Wonderland held itself to in 2025.

Revenue grew to \$178.8 million, up 20% year over year. We issued \$1.32 billion of wish credit through guardians, family sponsors, charitable partners, and approved trusts. We did it while improving credit quality, lowering defaults to 2.8%, and increasing net income to \$29.6 million.

The most important development came late in the year and accelerated in 2026: our AI operating layer, WonderEngine, began helping families match wishes to affordability, timing, and safer repayment structures. Through June 25, 2026, revenue is already up 69% versus the prior-year period. That number is exciting. It is also a test of discipline.

What went right

- **Responsible access scaled.** More families received financing without stretching into fragile structures. Average affordability buffer improved from 18% to 22% of monthly disposable income.
- **WonderEngine improved matching.** AI helped recommend whether a wish belonged in vehicle credit, expensive toy and experience credit, home-related financing, or a smaller cash wish loan.
- **Partners became a growth engine.** Schools, pediatric foundations, community sponsors, and family offices referred 41% of new qualified wish applications.
- **Credit quality improved.** The default rate fell from 3.2% to 2.8%, helped by clearer guardian disclosures and earlier hardship support.

What went wrong

- **We over-automated part of the journey.** Some applicants received AI-generated guidance when they needed a human specialist, especially for home-related wishes.
- **Expensive toy fulfillment ran ahead of operations.** Holiday-season demand created slower partner settlement cycles and higher support volume.
- **Cash wish loans were noisier.** Small unsecured cash loans grew slower than planned, but early-stage delinquencies were higher than our target range.
- **Regulatory readiness took more work.** New markets required more local review because children's wishes attract rightful scrutiny around consent, fairness, and consumer protection.

What We Learned

Dreams compound when they are paired with affordability. Our job is not to make every wish happen immediately. Our job is to help families choose the right wish, the right structure, and the right pace.

The lessons that will guide us

- **AI is a guide, not a signature.** WonderEngine can identify risk patterns and repayment paths, but accountable humans must remain close to exceptions and hardship cases.
- **Product boundaries matter.** A vehicle wish is not the same risk as a cash wish loan. A home accessibility wish is not the same operating problem as a premium toy purchase.
- **Trust is the scarce asset.** Families care about speed, but they remember clarity. We simplified disclosures, repayment timelines, and sponsor responsibilities in every product line.
- **Growth has a quality.** We will prioritize revenue that improves lifetime family outcomes, partner retention, and credit performance.

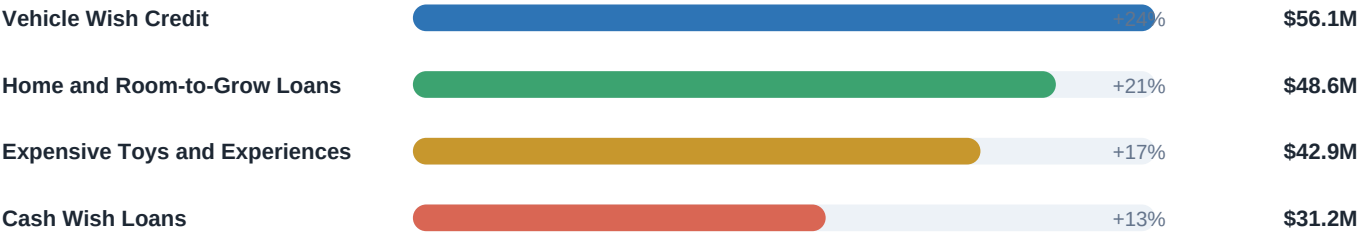
Our promise

Wonderkid Wonderland will keep making the impossible feel administratively possible. We will do it with underwriting discipline, capital humility, and the belief that a child's wish should never become a family's hidden trap.

- Kid Wonders, Founder and Chief Executive Officer

Product Performance

Wonderkid Wonderland reports four major wish-credit families. Loans and credit facilities are issued to guardians, sponsors, or approved trusts on behalf of children and families.



Product	FY2025 revenue	YoY growth	What customers use it for	Management view
Vehicle Wish Credit	\$56.1M	+24%	Adaptive bikes, first family vehicles, mobility upgrades, transport for activities and care.	Strong demand; maintain credit caps and partner verification.
Expensive Toys and Experiences	\$42.9M	+17%	Premium learning kits, robotics sets, gaming rigs, instruments, rare collectibles, and milestone experiences.	Healthy growth, but seasonal fulfillment needs better planning.
Home and Room-to-Grow Loans	\$48.6M	+21%	Bedroom remodels, accessibility upgrades, study spaces, family moves, and small home deposits.	High mission fit; slower approval cycles are appropriate.
Cash Wish Loans	\$31.2M	+13%	Short-duration flexible cash advances for smaller wishes or matching funds.	Useful but higher risk; tighten eligibility and slow growth.

The product mix broadened in 2025. Vehicle and home-related wishes delivered the strongest credit performance. Cash wish loans remain strategically important, but they require more conservative pacing.

Financial Review

The company delivered another 20% revenue year while expanding net income and keeping credit quality inside target ranges. All figures are fictional and presented for creative report design.

\$ in millions except metrics	FY2023	FY2024	FY2025
Revenue	\$124.2	\$149.0	\$178.8
Provision for credit losses	(10.4)	(12.1)	(13.6)
Operating expense	(91.5)	(107.0)	(129.2)
Operating income	\$22.3	\$29.9	\$36.0
Net income	\$8.2	\$17.9	\$29.6
Adjusted EBITDA	\$23.5	\$34.8	\$49.7
Net margin	6.6%	12.0%	16.6%

Balance sheet and platform metrics	FY2024	FY2025	Change
Total assets	\$712.0M	\$918.4M	+29%
Loan receivables, net	\$521.7M	\$681.5M	+31%
Deposits and sponsor funding	\$388.2M	\$491.0M	+26%
Shareholders' equity	\$118.6M	\$156.4M	+32%
Active wish accounts	1.7M	2.3M	+35%
AI-assisted approvals	38%	72%	+34 pts

Capital remained strong with a 14.8% common-equity-tier-1 equivalent ratio at year end. Management intends to retain more capital in 2026 while AI-driven volume expands.

Credit Quality, AI, and Risk

Wonderkid Wonderland's risk posture improved in aggregate, but results were not uniform across products. The company is treating AI as a risk-control system as much as a growth engine.

Metric	FY2024	FY2025	Commentary
Default rate	3.2%	2.8%	Lower losses in vehicle and home-related wishes offset cash-loan softness.
Net charge-off rate	2.1%	1.9%	Improved sponsor verification and hardship routing reduced late-stage losses.
90+ day delinquency	1.7%	1.5%	Early interventions helped, especially in guardian-managed accounts.
Cash wish early delinquency	4.1%	4.9%	Above target; growth will be slowed until cohort quality improves.
Resolved hardship plans	62K	104K	More families were rerouted before default through AI-supported outreach.

How WonderEngine changed the bank

- Automated wish classification improved product routing and reduced manual review for ordinary cases.
- Affordability recommendations increasingly propose smaller first wishes, sponsor matches, or longer savings periods before credit is extended.
- Fairness checks compare approval rates and pricing outcomes across geography, family structure, and sponsor type.
- Human escalation is mandatory for vulnerable-family indicators, home-related wishes, and hardship-plan decisions.

Risk priorities for 2026

- Throttle unsecured cash wish loan growth until early delinquency normalizes.
- Increase manual review for home and relocation wishes above \$35,000.
- Expand model monitoring with external audit coverage by the fourth quarter.
- Hold incremental capital against faster AI-driven approval volume.

Where We Will Grow and Slow Down

Management expects 2026 to be the first year in which AI shapes nearly every part of the operating model. The company will use that advantage selectively.

Grow	Why it matters	Guardrail
AI affordability coaching	Helps families resize wishes before debt is extended.	No fully automated approvals for high-risk or vulnerable cases.
Vehicle and mobility wishes	High demand, strong repayment behavior, clear use of funds.	Keep down-payment and sponsor verification requirements.
Home and room-to-grow loans	Mission-aligned and durable; supports safety, learning, and accessibility.	Accept slower underwriting and stronger documentation.
Partner referrals	Sponsors lower acquisition cost and improve repayment support.	Monitor partner concentration and referral incentives.

Slow down	Reason	Action
Cash wish loans	Higher early delinquency and less predictable use of funds.	Tighten eligibility, reduce maximum size, and add savings-first offers.
New market launches	Regulatory and consumer-protection review takes time.	Prioritize fewer markets with deeper compliance readiness.
Holiday toy fulfillment	Operational bottlenecks hurt customer experience.	Cap peak campaigns until partner settlement speed improves.
Unreviewed AI journeys	Automation can feel cold in emotional decisions.	Add human check-ins at sensitive moments.

Founder closing note

The world does not need a bank that sells bigger dreams than families can afford. It needs a bank that helps families make the right dream real, at the right time, with the right support. That is Wonderkid Wonderland's next test.

Appendix: Basis of Presentation

This report is a fictional creative artifact prepared for concept development. Wonderkid Wonderland, Kid Wonders, WonderEngine, and all financial figures are invented. The report should not be interpreted as an offering document, audited financial statement, banking disclosure, loan solicitation, or investment recommendation.

Selected definitions

Term	Definition
Wish credit issued	Total principal value of credit products originated or facilitated during the period.
Active wish account	A guardian, sponsor, trust, or partner account with at least one open wish-credit relationship.
WonderEngine	The fictional AI operating layer used for routing, affordability coaching, servicing, fraud detection, and model monitoring.
Cash wish loan	A shorter-duration unsecured product intended for smaller wishes or matching-fund gaps.

Forward-looking language

Statements about expected growth, product direction, AI capabilities, capital strategy, and credit quality are narrative assumptions for this fictional report. Actual companies face risks that can differ materially from projections, including credit losses, regulatory constraints, liquidity pressure, model bias, fraud, competition, and operational failure.

Prepared June 25, 2026. Fictional report for Wonderkid Wonderland.